

## Growth pangs: On industrial activity

India's industrial sector requires policy intervention amid global **turbulence**

At 4%, India's **fiscal 2025 average** of **Index of Industrial Production (IIP)** **is** at its lowest in the past four years, **marking** a **slowdown** in industrial activity. This could be **attributed to** uncertainties in the global economic **outlook leading to tepid** goods exports growth, lower than expected consumption demand growth, and a **dip** in private **capital expenditure**. While the monthly **barometer** of the nation's industrial output, the IIP, grew in March to 3% from February's 2.7%, this has been mainly **on account of** a rise in power production, which **cyclically peaks** in summer. Power output growth almost doubled between February (3.6%) and March (6.3%). But **the fall** in the IIP, from 5.9% (2023-24) to 4% (2024-25), **warrants** a closer look at the sectors that have **lagged**. While mining steeply declined from 7.5% (FY24) to 2.9% (FY25), manufacturing followed with 5.5% (FY24) and 4% (FY25) and electricity at 7% (FY24) and 5.1% (FY25). What is more significant is the **degrowth** of -1.6% in fiscal 25 **witnessed** in **consumer non-durables** from 4.1% in the previous year. **Contrasting** this with the growth almost doubling in **consumer durables** from 3.6% (FY24) to 8% (FY25) likely indicates an **uptick** in urban private consumption, while **lingering** effects of high **food inflation** in the October to December quarter of the last fiscal continue to **strain** rural consumption. Sure, **retail inflation** was at its lowest in six years at 4.6% in FY25, **aided** by **steep** falls in vegetable prices in the last quarter, but this also heavily impacted farm incomes, further **straining** rural consumption. While a **decrease** in the RBI's bank lending rate to 6% in April from 6.5% in January **has** led to lower **capex** lending rates across banks, an uncertain economic and trade environment is unlikely to encourage the private sector to raise investment, without **substantial** domestic consumption **impetus** from the government.

**The flat growth** in goods exports in FY25 **is** another area that must concern policymakers as it indicates considerable strain on India's **sprawling** small businesses, the MSME sector, that contributes about 45.8% in exports. This sector has witnessed **remarkable** growth over the past five years, **quadrupling** in size from about ₹4 lakh crore in FY21 to ₹12 lakh crore in FY25. However, given strained trade relations with the country's largest trading partner, the United States, India must ensure that the Bilateral Trade Agreement that is under negotiation **fortifies** India's nearly 60 million MSMEs, the vast majority of which are classified as micro industries. Consequently, this will protect the over 250 million jobs that the sector provides. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

## Vocabulary

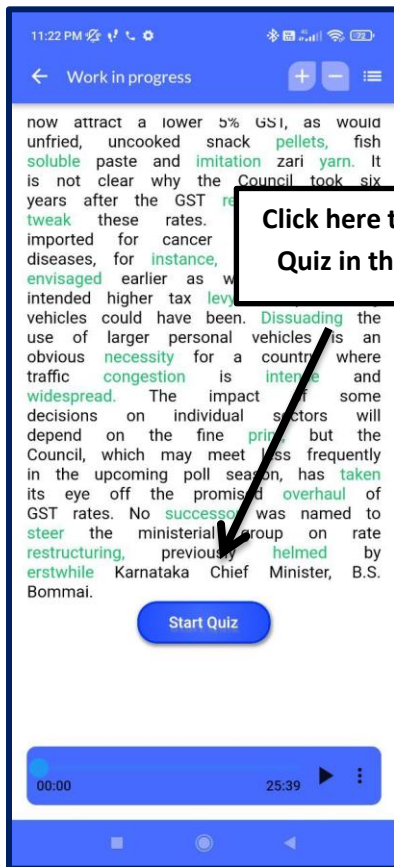
1. **Pang** (noun) – stab, twinge, spasm, ache, sharp pain वेदना / तीव्र पीड़ा
2. **Turbulence** (noun) – instability, disturbance, unrest, turmoil, chaos अशांति / उथल-पुथल
3. **Fiscal** (noun) – financial year, revenue-related, budgetary term, economic year, monetary period राजकोषीय वर्ष
4. **Index of Industrial Production (IIP)** (noun) – a key economic indicator that measures the changes in the volume of industrial production over time
5. **Mark** (verb) – signify, indicate, denote, represent, record चिह्नित करना
6. **Slowdown** (noun) – deceleration, slump, decline, recession, reduction मंदी / गिरावट
7. **Attributed** (to) (adjective) – ascribed, credited, linked, connected, assigned को जिम्मेदार ठहराना
8. **Outlook** (noun) – forecast, perspective, expectation, future view, projection दृष्टिकोण
9. **Lead** (to) (verb) – cause, result in, bring about, give rise to, prompt वजह बनना
10. **Tepid** (adjective) – lukewarm, unenthusiastic, dull, moderate, weak धीमा
11. **Dip** (noun) – drop, decline, fall, reduction, slump गिरावट
12. **Capital expenditure** (noun) – money spent by a business or organization on acquiring or maintaining fixed assets, such as land, buildings, and equipment. पूंजीगत व्यय
13. **Barometer** (noun) – indicator, gauge, measure, benchmark, standard सूचक / मानक
14. **On account of** (phrase) – because of, due to, owing to, as a result of, by reason of के कारण
15. **Cyclically** (adverb) – periodically, seasonally, in cycles, recurrently, in phases चक्रीय रूप से
16. **Peak** (verb) – reach highest point, culminate, top out, climax, hit maximum शिखर पर पहुँचना
17. **Warrant** (verb) – justify, necessitate, demand, call for, merit ज़रूरी बनाना
18. **Lag** (verb) – fall behind, delay, slow down, trail, slacken पिछड़ जाना
19. **Degrowth** (noun) – decline, contraction, negative growth, reduction, drop नकारात्मक वृद्धि
20. **Witness** (verb) – observe, experience, undergo, see, record देखना

21. **Consumer non-durable** (noun) – items bought by consumers for personal use that have a lifespan of three years or less.
22. **Contrast** (verb) – compare, differentiate, oppose, highlight differences, distinguish तुलना करना / विपरीत दिखाना
23. **Consumer durable** (noun) – manufactured items, typically cars or household appliances, that are expected to have a relatively long useful life after purchase
24. **Uptick** (noun) – increase, rise, boost, surge, improvement हल्की वृद्धि
25. **Lingering** (adjective) – lasting, remaining, persistent, continuing, prolonged लम्बे समय तक बना रहने वाला
26. **Food inflation** (noun) – refers to the increase in the price of food items over time खाद्य मुद्रास्फीति
27. **Strain** (verb) – stress, burden, pressure, stretch, exhaust दबाव डालना
28. **Retail inflation** (noun) – It refers to the rate at which the prices of goods and services consumed by households increase over time खुदरा महंगाई
29. **Aid** (verb) – help, assist, support, facilitate, bolster सहायता करना
30. **Steep** (adjective) – sharp, high, abrupt, sudden, severe तीव्र / अधिक
31. **Capex** (noun) – refers to the investments a company makes to acquire, improve or maintain long-term assets such as buildings, land, machinery or equipment. पूंजीगत व्यय
32. **Substantial** (adjective) – significant, considerable, major, notable, meaningful महत्वपूर्ण
33. **Impetus** (noun) – momentum, stimulus, boost, drive, push प्रोत्साहन
34. **Sprawling** (adjective) – extensive, widespread, vast, spreading, far-reaching फैला हुआ
35. **Remarkable** (adjective) – notable, exceptional, outstanding, extraordinary, impressive उल्लेखनीय
36. **Quadruple** (verb) – increase fourfold, multiply by four, grow rapidly, expand greatly, rise exponentially चार गुना बढ़ना
37. **Fortify** (verb) – strengthen, secure, reinforce, support, bolster मज़बूत करना

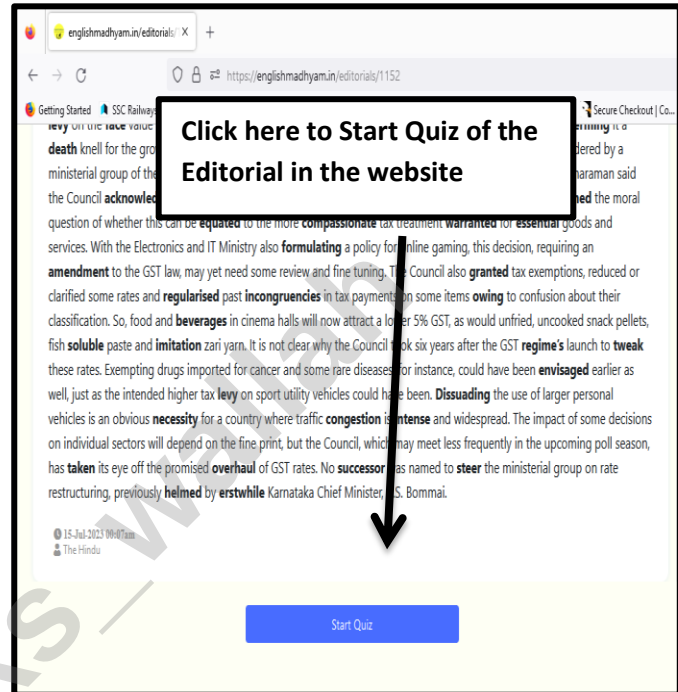
## Summary of the Editorial

1. India's IIP growth for FY25 is at 4%, the lowest in four years, signaling a slowdown in industrial activity.
2. This slowdown stems from global economic uncertainties, weak export growth, sluggish domestic consumption, and reduced private investment.
3. March saw a modest IIP rise to 3% from 2.7% in February, primarily driven by increased power production, which seasonally peaks in summer.
4. Power output jumped from 3.6% (Feb) to 6.3% (Mar), highlighting the cyclical nature of energy demand.
5. IIP growth fell sharply from 5.9% (FY24) to 4% (FY25), prompting concern about underperforming sectors.
6. Mining growth dropped drastically from 7.5% to 2.9%, followed by manufacturing (from 5.5% to 4%) and electricity (from 7% to 5.1%).
7. Consumer non-durables experienced a degrowth of -1.6% in FY25, a steep decline from 4.1% growth the previous year.
8. In contrast, consumer durables saw growth rise from 3.6% (FY24) to 8% (FY25), pointing to urban consumption recovery.
9. Rural consumption remains under stress due to high food inflation during late FY24 and falling farm incomes.
10. Despite a 6-year low in retail inflation at 4.6%, price crashes in vegetables hurt agricultural earnings.
11. The RBI's rate cut to 6% in April has reduced borrowing costs, but investment remains subdued due to global uncertainty.
12. Without strong domestic demand stimulus, private sector investment is unlikely to accelerate.
13. Flat export growth in FY25 is a red flag, particularly for MSMEs, which account for 45.8% of exports.
14. The MSME sector has grown from ₹4 lakh crore (FY21) to ₹12 lakh crore (FY25), but remains vulnerable to external trade shocks.
15. India must strengthen MSMEs—especially micro industries—via a robust Bilateral Trade Agreement with the U.S., to protect 250 million jobs.

## Practice Exercise: Banking Pattern Based



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